I G Petrochemicals Ltd

Concall Tracker · Q2 2027 · first report, built without the Q2 FY27 transcript text

1. Snapshot

Makes phthalic anhydride (PAN), a bulk chemical made from ortho-xylene that goes into plasticizers, paint resins, polyester resins and pigments, at a single complex in Taloja, Maharashtra. It is India's largest PAN maker with about half the domestic market and India's only maker of maleic anhydride. It also makes benzoic acid and DEP, and started a plasticizer plant in September 2026. Profit swings with the gap between PAN and ortho-xylene prices (the spread).

Number	Value	What it means
Market cap	Rs 1,813 cr	What the market values the whole company at (Screener, Nov 2026).
Sales, FY26	Rs 1,925 cr	Down 13% on FY25 as PAN prices were weak for most of the year.
Net profit, FY26	Rs 23 cr	Very thin; FY25 was Rs 112 cr. Shows how fast profit moves with the spread.
Q2 FY27 total revenue	Rs 770 cr	Up 63% on a year ago, led by higher prices across all products, not more tonnes.
Q2 FY27 EBITDA margin	18.8%	Against 5.8% a year ago: operating profit per rupee of sales more than tripled.
Q2 FY27 net profit	Rs 90 cr	Against Rs 1.4 cr a year ago; H1 FY27 profit of Rs 161 cr is already far above all of FY26.
Borrowings, Sep 2026 (standalone)	About Rs 223 cr	Long and short-term loans; the presentation says net debt is zero.
Interim dividend	Rs 10 a share	Declared with the Q2 FY27 results.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY23	8 Aug 2022	Yes (skimmed for old capex plans)
Q3 FY23 to Q3 FY26	Nov 2022 to Feb 2026	No: transcripts are hosted on the company website, which blocked downloads
Q4 FY26	21 May 2026	Yes (skimmed for guidance)
Q1 FY27	7 Aug 2026	Yes, read in full
Q2 FY27	6 Nov 2026 (call held)	No: the 11 Nov filing on BSE only points to the company website, which refused the download

Only three recent transcripts could be read (May and Aug 2026 plus one from 2022), so the consistency read is limited. The Q2 FY27 call took place on 6 Nov 2026 and the company filed a note on 11 Nov saying the transcript is on its website, but the site blocked access when this report was built. The Q2 FY27 section uses the investor presentation filed on 6 Nov 2026 and Screener's results instead, read against what management said in May and August 2026.

Latest update highlights: Q2 FY27 (investor presentation, 6 Nov 2026; transcript text not available)

- Highest-ever Q2 and H1 revenue: Rs 770 cr in the quarter, up 63%, which the company credits to better prices across all products.
- EBITDA rose to Rs 144 cr (18.8% margin) from Rs 27 cr (5.8%) a year ago, and net profit to Rs 90 cr from Rs 1.4 cr. In August management said spreads were well above their ten-year average because the Middle East conflict pushed up all petrochemical prices.
- The plasticizer plant started production on 30 September 2026. In May management expected about nine months of output this year; in August it said the plant would start in August or early September.
- The compressed biogas (CBG) plant is now expected to start in December 2026. In May it was due in Q2 FY27, and in August in the October to December quarter.

- Non-PAN revenue was Rs 68 cr in the quarter; exports were about 4% of revenue. India Ratings affirmed its AA- rating and a Rs 10 interim dividend was declared.

Business mix & capacity

Domestic vs export: Mostly domestic: exports were about 4% of revenue in Q2 FY27. Management said it normally exports 15 to 30% but shipping disruption cut that to roughly 7 to 10% in Q1 FY27 (Aug 2026).

Capacity use: PAN capacity is about 2.75 lakh tonnes a year across five plants; management guides about 2 lakh tonnes of PAN sales a year and said utilisation is 65 to 70%, hoping for 80 to 90% as the plasticizer plant uses more PAN in-house (Aug 2026). The plasticizer plant has 75,000 tonnes of capacity, targeted at 15,000 to 20,000 tonnes in the rest of FY27 and 50,000 to 65,000 tonnes next year.

3. Earning Trigger thesis

Most of this year's profit jump comes from spreads, not from anything the company controls: the war-driven rise in petrochemical prices lifted PAN prices faster than costs, and IGPL earns extra over the market spread from by-products and yield. Management itself calls the ten-year average spread lower than today's and expects normal levels within months of a settlement. The company-specific trigger is the new plasticizer plant, which turns some PAN into a downstream product and should lift PAN volume after two flat years. It only started at the end of September, at a modest margin.

Trigger	What management said	Evidence so far	Time horizon	Strength
High PAN spreads	Spreads are above the ten-year average and will hold while crude stays high; won't forecast (Aug 2026)	Q2 FY27 EBITDA margin 18.8% vs 5.8% a year ago	Next one or two quarters	Weak as a lasting trigger: set by global prices
Plasticizer plant	75,000 tonnes; 15,000 to 20,000 tonnes in the rest of FY27; 10 to 12% EBITDA margin; payback about four years (Aug 2026)	Production started 30 Sep 2026	FY27 to FY28	Moderate: real and funded, but late and low-margin
CBG plant at Raichur	Start in Q2 FY27 (May), then Oct to Dec (Aug)	Now expected December 2026	FY28	Weak: small and slipping

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	No debt-reduction plan given; the presentation says net debt is zero.
New business	Yes	Plasticizer plant (DOP, DINP, DBP, DIDP) started production 30 Sep 2026; CBG plant due December 2026 (Nov 2026 presentation).
Margin up	Yes	EBITDA margin 19.2% in Q1 FY27 against 2.7% a year earlier, 'supported by the improved realization' (Aug 2026); 18.8% in Q2 FY27.
New management	No	No change mentioned.
New capacity	Yes	75,000-tonne plasticizer plant started Sep 2026; DEP debottlenecked to about 10,000 tonnes a year (Aug 2026).
Big orders	No	No order book; PAN is sold on annual contracts and spot.
Turnaround	No	Not described as one, though FY26 profit was very thin.
Promoter buying	No	Not mentioned.

The single concrete driver: Higher PAN spreads from the war-driven rise in petrochemical prices, plus a new plasticizer plant that started at the end of September.

3c. Margin bridge

EBITDA margin rose to 18.8% in Q2 FY27 from 5.8% a year ago. Management credited higher realisations across all products and said market spreads were well above their ten-year average because of the Middle East conflict, with some extra from yield and by-products; it expects spreads to normalise within three to six months of a settlement. So most of the gain depends on prices (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2022	Start building a downstream plant before PA5 finished (around early 2024)	Plasticizer plant mechanically complete only in March 2026	Missed (years late)
May 2026	Plasticizer about nine months of output in FY27; CBG in Q2 FY27	Plasticizer started 30 Sep 2026; CBG now December 2026	Partly
Aug 2026	Plasticizer to start in August or early September	Started 30 September	Partly (just late)
May and Aug 2026	PAN sales about 2 lakh tonnes a year	Q1 FY27 was 40,000 to 45,000 tonnes; Q2 tonnes not disclosed in the presentation	Too-early
Aug 2026	Next one or two quarters look good	Q2 FY27 EBITDA Rs 144 cr, above Q1's Rs 120 cr	Delivered

Narrative drift: The main story, low-cost PAN leader moving downstream, has stayed the same since 2022. Project dates keep slipping, though: the plasticizer plant was talked about for years before it started, and the CBG date moved twice in six months. Management is candid that margins are set by the market and refuses to forecast them, which is honest but means there is no earnings guidance to hold it to. PAN volume has sat around 2 lakh tonnes for two years.

5. Bottom line

Durable earning trigger? → MAYBE

Profit has jumped, but mainly because global PAN spreads widened, which management itself expects to fade once the conflict settles. The plasticizer plant is the real company-specific driver and it has only just started, with a modest margin.

Management consistent? → MAYBE

Management delivered what it said about near-term quarters and is open about spreads, but project timelines (plasticizer, CBG) slipped repeatedly and PAN volume has not grown. Only three recent transcripts could be read, so this is a thin record.

6. Checkpoints for next quarter

- Plasticizer plant sells 15,000 to 20,000 tonnes by March 2027
- CBG plant starts by December 2026
- EBITDA margin stays above 15% in Q3 FY27

This is not investment advice. Do your own due diligence.